

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") is entered into as of January 1, 2025, between **CHICAGO OUTLET PROPERTIES LLC**, an Illinois limited liability company ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

- A. Landlord owns Windy City Outlet Center, a 225,000 square foot outlet shopping center in Chicago, Illinois.
- B. Tenant desires to lease space for an outlet format retail store.
- C. The parties agree to enter this Lease on the following terms and conditions.

ARTICLE 1 - BASIC LEASE INFORMATION

Item	Terms
Demised Premises:	Suite 321, approx. 17,000 rentable square feet
Store Number:	S006
Street Address:	321 Windy Drive, Chicago, IL 60602
Tenant's Pro Rata Share:	7.56% (17,000 ÷ 225,000)
Lease Term:	Five (5) years
Commencement Date:	January 18, 2025
Rent Commencement:	January 18, 2025
Expiration Date:	January 17, 2030
Security Deposit:	Two months' Base Rent (\$68,000)
Guarantor:	Skyline Stores Holdings, Inc.

Base Rent Schedule:

Year	Annual Rent	Monthly Rent	PSF/Year
1	\$408,000	\$34,000	\$24.00
2	\$420,240	\$35,020	\$24.72
3	\$432,847	\$36,071	\$25.46
4	\$445,832	\$37,153	\$26.23
5	\$459,207	\$38,267	\$27.01

ARTICLE 2 - GRANT OF PREMISES

2.1 Demise

Landlord leases to Tenant the Premises described in **Exhibit A**, together with non-exclusive rights to Common Areas.

2.2 Delivery Condition

Premises delivered in current "as-is" condition with:

- Previous tenant's HVAC (2018 installation, 3 RTUs)
- LED lighting throughout
- Polished concrete floors
- Fitting rooms and restrooms
- Electrical: 600-amp service
- Fire sprinkler system

2.3 Early Access

Tenant granted access January 10, 2025 for fixturing and setup. No business operations until Commencement Date.

ARTICLE 3 - TERM AND OPTIONS

3.1 Initial Term

Five (5) years from Commencement Date unless terminated earlier per this Lease.

3.2 Renewal Options

Two (2) renewal options of three (3) years each:

- Notice: 180 days before expiration
- Rent: Fair Market Value with 3% floor
- FMV disputed resolved by MAI appraisal

3.3 Holdover

Month-to-month at 150% rent if holding over. Tenant liable for all Landlord damages from holdover.

ARTICLE 4 - RENT AND ADDITIONAL CHARGES

4.1 Base Rent

Paid monthly in advance on the 1st. First month due at Lease execution.

4.2 Common Area Maintenance (CAM)

Current CAM: \$5.25 PSF annually **Includes:**

- Parking lot maintenance and striping
- Snow removal and salting
- Landscaping and irrigation
- Security services
- Common lighting and utilities
- Management fee (3% of gross rents)
- Insurance and administrative costs

Annual Cap: 4% increase on controllable expenses

4.3 Real Estate Taxes

Current Taxes: \$4.15 PSF annually Tenant pays pro rata share of all taxes. Tenant may contest with Landlord approval.

4.4 Insurance Charges

Current Insurance: \$0.65 PSF annually Covers property, liability, and rental loss insurance for Common Areas.

4.5 Marketing Fund

\$0.35 PSF annually for center-wide marketing, events, and promotions.

4.6 Additional Rent Summary

All charges beyond Base Rent are "Additional Rent":

- Estimated monthly: \$14,485
- Reconciled annually by April 1
- True-up payment/credit within 30 days

4.7 Late Charges

5% late fee after 5-day grace period. Interest at lesser of 18% annually or maximum legal rate.

ARTICLE 5 - USE AND OPERATION

5.1 Permitted Use

Solely as a Skyline Stores outlet offering:

- First-quality overstock merchandise
- Previous season items
- Special purchases
- Online returns processing
- No damaged/second merchandise exceeding 10%

5.2 Trade Name

Must operate as "Skyline Outlet" or similar name including "Skyline" brand.

5.3 Required Operations

- **Minimum Hours:** 10 AM - 8 PM Mon-Sat; 11 AM - 6 PM Sunday
- **Peak Season:** Extended hours November 15 - January 15
- **Continuous Operation:** No closure exceeding 3 consecutive days

5.4 Radius Restriction

No other Skyline outlet within 5 miles during Term plus 1 year.

5.5 Prohibited Uses

- Warehouse sales
- Flea market/swap meet
- Auction operations
- Any use increasing insurance rates

5.6 Percentage Rent

None during initial Term. If renewed, 2% of gross sales exceeding \$500 PSF.

ARTICLE 6 - MAINTENANCE AND REPAIRS

6.1 Tenant's Obligations

Tenant maintains at its cost:

- Interior walls, ceilings, floors
- Storefront and entry doors
- Interior lighting and electrical
- Plumbing fixtures and lines
- **HVAC routine maintenance and filters**
- Pest control within Premises

6.2 Landlord's Obligations

Landlord maintains:

- Roof, structure, and foundations
- Common Areas and parking
- Exterior walls
- **HVAC repairs over \$5,000 per occurrence**
- **HVAC replacement when necessary**
- Fire/life safety systems

6.3 HVAC Service Terms

Mixed Responsibility System:

- **Tenant:** Quarterly service contracts, filter changes, repairs under \$5,000
- **Landlord:** Major repairs over \$5,000, complete unit replacement
- **Age of Units:** Installed 2018 (7 years old at Lease start)
- **Specifications:** Three (3) Carrier 10-ton rooftop units

6.4 Maintenance Standards

All maintenance performed to first-class retail standards. Failure to maintain after 30-day notice is default.

6.5 Alterations

- Under \$25,000: Notice only
- Over \$25,000: Prior written consent
- Structural: Prohibited without express consent
- Must use union labor per building requirements

ARTICLE 7 - UTILITIES AND SERVICES

7.1 Tenant-Paid Utilities

Separately metered and paid directly:

- Electricity
- Natural gas
- Telephone/internet
- Refuse removal (dumpster service)

7.2 Landlord Services

Included in CAM charges:

- Water and sewer
- Common Area lighting
- Parking lot lighting
- Security patrols (8 PM - 6 AM)

7.3 Interruption of Services

No liability for interruptions beyond Landlord's reasonable control. Rent abates if interruption exceeds 5 business days.

ARTICLE 8 - INSURANCE AND INDEMNITY

8.1 Tenant's Required Insurance

Commercial General Liability:	\$2,000,000 per occurrence \$4,000,000 aggregate
Property Insurance:	Full replacement cost
Business Interruption:	12 months' rent
Auto Liability:	\$1,000,000
Workers' Compensation:	Statutory limits
Umbrella Policy:	\$5,000,000
Liquor Liability (if applicable):	\$1,000,000

8.2 Additional Requirements

- Landlord and managing agent as additional insureds
- Primary and non-contributory
- Waiver of subrogation

- A.M. Best A- VII or better carriers
- Certificate before occupancy

8.3 Landlord's Insurance

Carries property and liability for Common Areas. Does not insure Tenant's property.

8.4 Indemnification

- Tenant indemnifies Landlord except for Landlord's gross negligence
- Landlord indemnifies Tenant for Common Area claims
- Survival of indemnities beyond Term

ARTICLE 9 - DAMAGE, DESTRUCTION AND CONDEMNATION

9.1 Casualty Damage

Partial Damage (<50%):

- Landlord restores within 180 days
- Rent abates proportionately
- Tenant restores its improvements

Major Damage (>50%):

- Either party may terminate within 30 days
- If not terminated, Landlord restores within 270 days

Last Year Damage:

- Tenant may terminate for any damage requiring >60 days to repair

9.2 Condemnation

- Total taking: Lease terminates
- Partial >25%: Tenant may terminate
- Partial <25%: Rent adjusts, Lease continues
- Awards to Landlord except Tenant's trade fixtures and relocation

9.3 Restoration Obligations

Landlord restores to "vanilla box" condition. Tenant responsible for improvements beyond original delivery condition.

ARTICLE 10 - ASSIGNMENT AND SUBLETTING

10.1 Consent Required

No Transfer without Landlord's prior written consent, not unreasonably withheld. Request must include:

- Proposed transferee information
- Financial statements (3 years)
- Business experience
- Intended use

10.2 Landlord's Response

Within 20 days, Landlord shall:

- Consent
- Reasonably withhold consent
- Recapture (assignments only)

10.3 Permitted Transfers

No consent needed for:

- Affiliate with 75%+ common ownership
- Stock transfers not changing Control
- Franchisee operating as Skyline brand

10.4 Transfer Conditions

- No release of original Tenant
- Assignee assumes in writing
- 50% of profit to Landlord
- \$2,500 processing fee

10.5 Subletting Terms

- Subrent may not exceed pro rata share of Rent
- Subtenant must acknowledge Lease terms
- No further subletting by subtenant

ARTICLE 11 - DEFAULTS AND REMEDIES

11.1 Events of Default

Monetary: Failure to pay within 5 days of written notice **Non-Monetary:** Failure to cure within 30 days of notice (or commence if longer needed) **Immediate:** Bankruptcy, abandonment, chronic late payment (3x in 12 months)

11.2 Remedies

Landlord may:

- Terminate Lease and recover damages
- Terminate possession only
- Accelerate 6 months' rent
- Perform and charge 115% of costs
- Exercise all available legal remedies

11.3 Mitigation Duty

Landlord must use reasonable efforts to relet but may:

- Lease other spaces first
- Reject unsuitable tenants
- Hold out for market rent

11.4 Tenant's Remedies

For Landlord default beyond cure period:

- Self-help with offset
- Injunctive relief
- Actual damages
- No consequential damages

ARTICLE 12 - MISCELLANEOUS PROVISIONS

12.1 Parking

- Customer: 85 spaces (5:1,000 SF ratio)
- Employee: 20 designated rear spaces
- No overnight parking
- Landlord may tow violators

12.2 Signage

- Façade: One sign per criteria, max 150 SF
- Pylon: Panel on center identification pylon
- Directional: As approved by Landlord
- No temporary banners without approval

12.3 Co-Tenancy

Initial: Must be 80% leased and occupied **Ongoing:** If falls below 65% for 6 months:

- Base Rent reduces to \$25,000/month
- After 12 months, Tenant may terminate

12.4 Merchants Association

Mandatory membership at \$200/month. Covers:

- Joint advertising
- Seasonal events
- Website and social media
- Tourism marketing

12.5 Sustainability Requirements

- Participate in recycling program
- Energy Star appliances required
- LED lighting for any replacements
- Water conservation fixtures

12.6 ADA Compliance

Tenant ensures ADA compliance within Premises. Landlord responsible for Common Areas.

12.7 Hazardous Materials

No hazardous materials except cleaning supplies in reasonable quantities. Full indemnity for violations.

12.8 Estoppel Certificates

Provided within 10 days of request. Failure deemed acceptance of Landlord's stated facts.

12.9 SNDAs

Lease subordinate to mortgages. Landlord shall obtain SNDA from existing lender.

12.10 Force Majeure

Excuses performance except payment obligations. Includes pandemic, strikes, acts of God.

12.11 Notices

Landlord: Chicago Outlet Properties LLC 111 W. Jackson Blvd., Suite 1400 Chicago, IL 60604 Attn: Property Management

Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal

With email copies to:

- Landlord: pm@chicagooutlet.com
- Tenant: legal@skylinestores.com

12.12 Brokers

Landlord: Newmark / Tenant: Colliers

Commission paid by Landlord per separate agreement.

12.13 Applicable Law

Illinois law governs. Venue in Cook County. Jury trial waived.

12.14 Counterparts

May be executed in counterparts and electronically.

12.15 Entire Agreement

Complete agreement superseding all prior negotiations.

12.16 Recording

Memorandum may be recorded at Tenant's expense.

EXECUTION

LANDLORD: CHICAGO OUTLET PROPERTIES LLC

By: _____

Name: Thomas Mitchell

Title: Managing Member

Date: January 1, 2025

TENANT: SKYLINE STORES

By: _____

Name: David Park

Title: VP Real Estate - Central Region

Date: January 1, 2025

EXHIBITS

Exhibit A - Premises Floor Plan **Exhibit B** - Site Plan with Parking **Exhibit C** - Signage Criteria **Exhibit D** - Rules and Regulations **Exhibit E** - Form of Estoppel **Exhibit F** - Guaranty **Exhibit G** - HVAC Inventory and Specifications **Exhibit H** - Exclusive Use Restrictions **Exhibit I** - Tenant Finish Standards